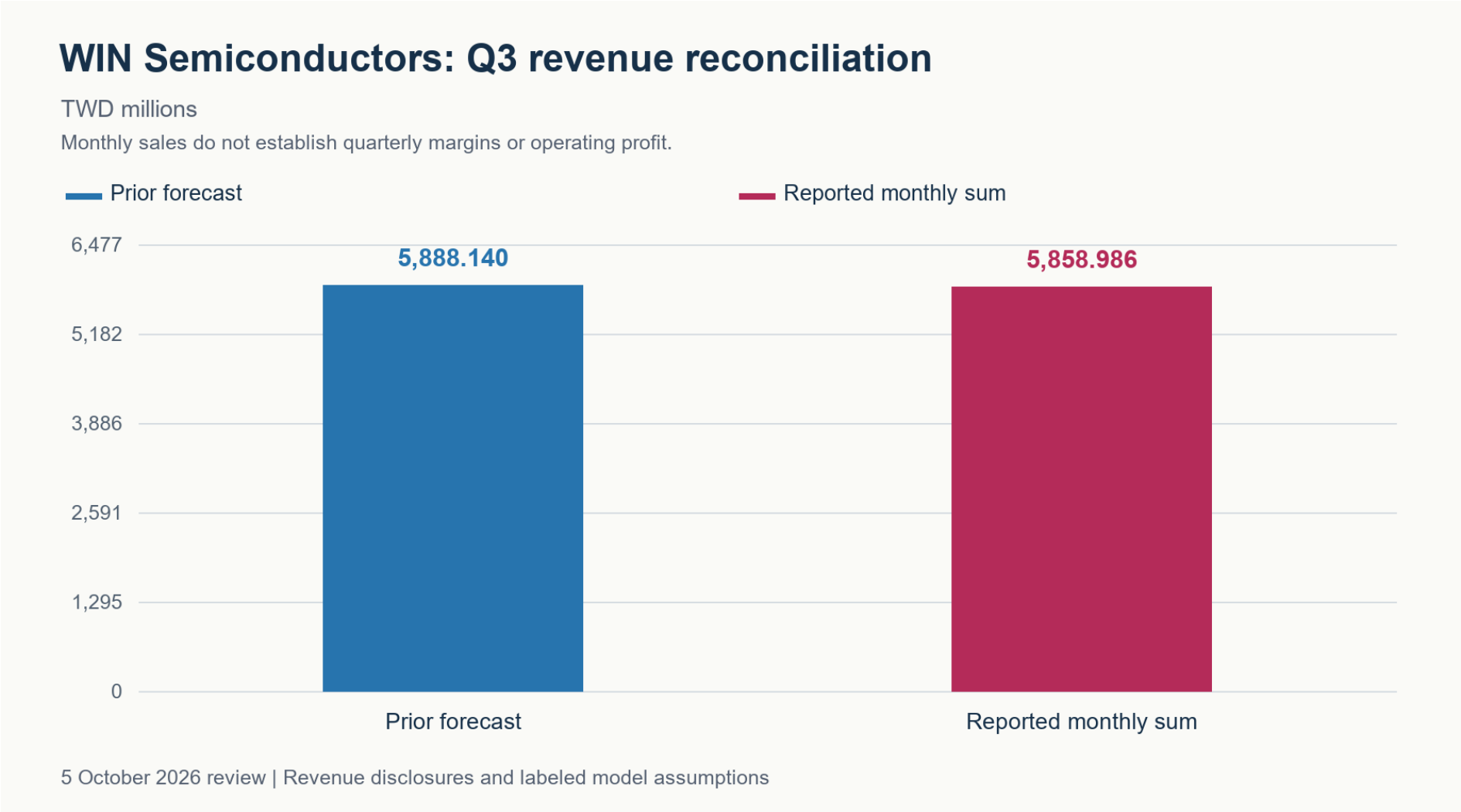
3105.TW - Win Semiconductors

Full active edition | Financial methods and portfolio Base overrides preserved.

October 5, 2026 update: September revenue reconciled

Active Q4 2027 price target: TWD 518.384643 per share, unchanged. Analytical Base 78/100; protected portfolio Excel Base 82/100, both unchanged.

Q3 monthly sales 5,858.986M, -0.50% vs forecast. Revenue anchor and dependent Q3 profit estimates updated; margins remain forecasts. Later-quarter inputs and Q4 2027 ceiling unchanged.



Q3 2026 prior forecast versus reported monthly-sales sum. TWD millions. Quarterly margins and OP are still modeled.

Reported monthly revenue	TWD millions
July 2026	1,892.049
August 2026	1,937.397
September 2026	2,029.540

Reported monthly revenue	TWD millions
Q3 monthly sum	5,858.986
Prior Q3 forecast	5,888.140
Q3 change	-0.4951%

Decision ledger (approved model treatment): Reported monthly revenue sum replaces Q3 forecast, probability100% for reported figure; product mix/margins/opex remain model assumptions. Do not infer actual OP. Future period input assumptions and existing custom multiple/share conventions retained. No unreported HBM or pricing addition. Q3 is outside Q4 2027 valuation window.

Source and dates: MOPS September consolidated revenue disclosure, company code 3105, ROC year 115, month 09; original monetary unit TWD thousands, divided by 1,000 for the table above. Retrieved October 5, 2026. Issuer original September release explicitly dated October 5, 2026; exact publication time absent. The July/August figures retain their existing source provenance: Fresh MOPS July/August originals in this packet.

The company has reported monthly revenue, not a complete Q3 income statement. Product allocations, gross margins, operating expenses and OP remain explicitly modeled. The existing multiple, profit definition, share convention and protected Excel Base are retained. All later-quarter operating assumptions are retained.

Affected ceiling quarter	Previous target TWD	Updated target TWD	Change
Q3 2026	325.375027	324.825501	-0.1689%

Subsidiary capital disclosure: Chainwin proposes to issue 15.034127 million subsidiary shares at USD 1 each, raising USD 15.034127 million, with an October 31, 2026 record date. WIN ownership would become 65.09% after completion. This is not a WIN parent share issuance. Prior ownership, any parent cash contribution and completion remain unresolved; no parent dilution or incremental operating profit is added to the model. MOPS disclosure, released October 5 at 17:59:35 Taiwan time, retrieved October 5, 2026.

Framework 6.0 · Research cutoff: 6 September 2026

Status: Integrated original research and approved earnings model; evidence qualifications remain active.

Classification: COMPOUND-SEMICONDUCTOR FOUNDRY BOTTLENECK - process qualification and optical ramp

Portfolio Base: 82/100 - user-selected. Analytical recommendation: **78/100 (47/60)**, advisory only.

Q1 2028 operating ceiling: TWD 561.56 per share. Financial amounts: TWD millions unless stated otherwise. Ceilings: TWD per share.

The ceiling is one conditional operating case. Probability is not multiplied into revenue, operating profit or the ceiling. Portfolio Base and the analytical category score are distinct; the latter does not overwrite the former.

1. Thesis, products and competitive position

QUALIFIED COMPOUND-SEMICONDUCTOR FOUNDRY. WIN manufactures radio-frequency and optical components for customers rather than selling an entire optical transceiver or AI system. Process qualification is valuable, while yields, fab utilization and customer demand determine the earnings conversion.

Q2 revenue was TWD 5,257.268M, GP 1,484.625M, opex 742.712M and OP 741.913M. Non-operating income 446.515M includes FX, investments and financing; it is excluded from modeled OP. H1 revenue was 9,847.328M and OP 1,172.913M. Source: WIN-4.

Foundry role in compound semiconductors

WIN manufactures compound-semiconductor devices for customers, historically with a substantial GaAs foundry franchise and exposure to RF, optical and related applications. Process recipes, yield and customer qualification can support a strong position. The original estimated foundry share is a dated market characterization, not proof of exclusivity across all III-V products.

The optical thesis links customer laser and photonic demand to qualified foundry processing. WIN does not automatically receive every laser wafer outside a single large customer's ecosystem. Customer relationships and a foundry's process capability must be demonstrated for each production program.

Physical capacity and competing supply

RF and optical products can have different process steps, cycle times and qualification constraints. Utilization must therefore refer to usable, suitably equipped capacity, not a generic percentage of all floor space. The physical capacity and wafer assumptions below are more meaningful than assigning a fixed probability that the entire factory will fill.

Advanced Wireless Semiconductor and vertically integrated device manufacturers provide competitive checks. Customer internal production, alternative foundries, input availability and working-capital absorption can all influence captured economics. Export or material-control developments should be monitored from actual policy and shipment evidence; an unverified expiry date is not a guaranteed supply event. Compound-semiconductor laser processing is also distinct from Tower's silicon-photonics platform.

Research provenance: the product and competitive analysis in this section synthesizes the supplied original research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

2. Earnings, guidance and operating assumptions

Latest management evidence

July revenue of TWD 1,892.049M, August 1,937.397M and reported September 2,029.540M sum to Q3 revenue of TWD 5,858.986M. This replaces the prior TWD 5,888.140M forecast (-0.50%). Monthly sales do not disclose quarterly product mix, gross margins or operating profit; those remain model assumptions. [MONTHLY-202609] Q3 revenue growth of 11.45% sequentially is consistent with management's earlier low-teens guidance. The prior model used 12% sequential growth. Its 32% group GM, product mix and TWD 780M opex remain estimates, pending quarterly earnings. Photodiode production began contributing late Q2; optical ramps can initially dilute margin. [WIN-2]

WIN SEMI. REPORTS 2Q26 CONSOLIDATED RESULTS (UNAUDITED)

Taiwan, July 24, 2026: WIN Semiconductors Corp. (WIN Semi., TPEx: 3105), the global leader in GaAs foundry services, today reported its fiscal year 2026, second quarter (2Q26) consolidated financial results.

2Q26 Results Highlights

- Consolidated net revenue for the quarter finished at NT$5,257 million, up 15% quarter on quarter and up 39% year on year.
- Consolidated gross margin increased by 1.9 percentage points to 28.2%, and consolidated operating margin increased by 4.7 percentage point to 14.1%.
- Consolidated operating income increased 72% quarter on quarter to NT$742 million.
- Net profit attributable to the parent company was NT$977 million. EPS was NT$2.30, compared to NT$1.26 for the first quarter of 2026.

3Q26 Outlook & Guidance

The following statements are forward-looking which are based on our current expectations of market demand and may involve risks and uncertainties, some of which are set forth under “Safe Harbor Notice” below.

- We expect 3Q26 consolidated revenue to increase low-teens QoQ.
- We expect 3Q26 consolidated gross margin to be around low-thirties level.

Original WIN issuer Q2 press release, July 24, 2026, page 1 (cropped for legibility). Prior Q3 guidance: low-teens revenue growth and low-thirties gross margin. Retrieved October 5, 2026.

Original WIN issuer Q2 press release, July 24, 2026, page 1 (cropped for legibility). Prior Q3 guidance: low-teens revenue growth and low-thirties gross margin. Retrieved October 5, 2026. WIN-Q2-SOURCE. The monthly revenue outcome is now known; Q3 gross margin remains unreported.

The Q1 and Q2 presentations were reviewed along with available call summaries. Full verbatim Q&A records were not accessible. Summary claims about specific laser architectures, individual customers and next-year AI percentages are not used as confirmed revenue guidance. Optical includes sensing as well as communications. Satellite-related demand stays within infrastructure; no additive satellite TAM line is created. Sources: WIN-3, WIN-5, WIN-6.

Revenue, units and capacity bridge

Five exhaustive product groups prevent overlap. Q3 model sales shares are cellular 32%, Wi-Fi 14%, infrastructure 32%, optical 17% and other 5%; this is a forward mix assumption, not the reported Q2 mix. The issuer provides Q2 ranges rather than an exact set of shares, so midpoint estimates are not presented as an actual reconciliation. Q4 total revenue is 6,400M with 31/13/33/18/5% shares.

Calendar 2027-30 product revenue in TWD billions is cellular 10/11/12/13; Wi-Fi 3.5/3.8/4.1/4.4; infrastructure 9/11.5/13.5/15; optical 5/8/11/14; and other 1.3/1.5/1.7/1.9. Seasonal weights are 23/24/26/27%. For 2028, cellular+10% revenue assumes roughly 8% output and 2% mix; infrastructure+27.8% assumes 20% output and 6.5% mix; optical+60% assumes 45% output and 10.3% mix. These are explicit analyst requirements, not verified customer commitments.

The 2027 group revenue path is about 37% above Q2 annualized sales. Moving utilization from 65% to 80% would provide only 23% more wafer loading at fixed capacity; the rest must come from product mix, productivity or incremental tools. Neither tool ordering nor photodiode qualification alone proves that capacity is available. Absolute wafer volumes and each optical process yield remain LOW-confidence gaps. Later optical growth slows to 37.5% and 27.3%. No revenue from an entire AI rack or transceiver is assigned to WIN.

Gross profit, operating costs and shares

Q3 product GMs are cellular 28%, Wi-Fi 26%, infrastructure approximately 44.47%, optical 26% and other 15%; infrastructure GM is calibrated so their weighted sum equals the 32% group model anchor. These product GMs are analytical because the issuer does not report them. Q4 uses 30/27/45/28/18%.

2027-30 GMs are cellular 32%; Wi-Fi 30/31/32/32%; infrastructure 45/47/48/48%; optical 35/39/41/42%; and other 20%. Depreciation remains within product costs. Opex is 780/810M in Q3/Q4, then 680M quarterly fixed costs growing 5% annually plus 2.5% of revenue. Optical profitability improves only as utilization and yield mature.

Q2 inventory 7,584M and raw-material purchases contributed to weak cash conversion. Q2 depreciation is 760M in the presentation table; an inconsistent English prose line is excluded. Capex and inventory funding are real constraints on the successful ramp. Sources: WIN-2, WIN-4.

Use H1 diluted weighted-average 424.426M as a forward proxy, including its employee-compensation effect, with 0.5% annual net dilution from 2027. Issued/common weighted-average 423.940M is separately disclosed. Future repurchases are not assumed. This proxy is not a fully vested award-by-award forecast.

3. Analytical score

The category arithmetic gives **47/60 = 78/100** after the existing -4-point risk deduction. The portfolio Base remains **82/100**. Risk-class detail appears in section 7.

Category	Points	Maximum	Basis
Core thesis	18	20	Qualified compound-semiconductor foundry processes and customer relationships.
Cycle stage	8	10	Utilization and realized margins recover; optical ramp still early.
TAM expansion	9	10	Infrastructure and optical expansion alongside a distinct handset business.
Catalysts	5	5	Qualified photodiodes enter production; Q3 revenue and margin guidance improve.
Macro	8	10	AI networking and satellite investment support demand, with RF cyclicality.
Alpha	3	5	Separating optical qualification from broad AI revenue prevents double counting.
Risks	-4	0	Customer concentration, optical ramp yield, input costs and working-capital absorption.

4. Product economics and quarterly operating model

Forecasts distinguish reported anchors from guidance and analyst assumptions. Where the model uses segment OP or an adjusted profit proxy rather than product GP less opex, the stated basis applies; do not treat those proxies as a newly disclosed GAAP decomposition.

Vector evidence

Vector	Source / derivation	Confidence
Cellular	Issuer Q2 share 30-35%; modeled separately from satellite and optics	HIGH range; LOW future units and GP
Wi-Fi	Issuer Q2 share 10-15%	HIGH range; LOW future GP
Infrastructure	Issuer Q2 share 30-35%; RF demand includes multiple end markets	HIGH range; LOW satellite / AI split
Optical including sensing	Issuer Q2 share 10-15%; photodiodes qualified and contributing late Q2	HIGH direction; LOW future customer allocations
Other	Issuer Q2 share about 5%	HIGH approximate mix; LOW forecast

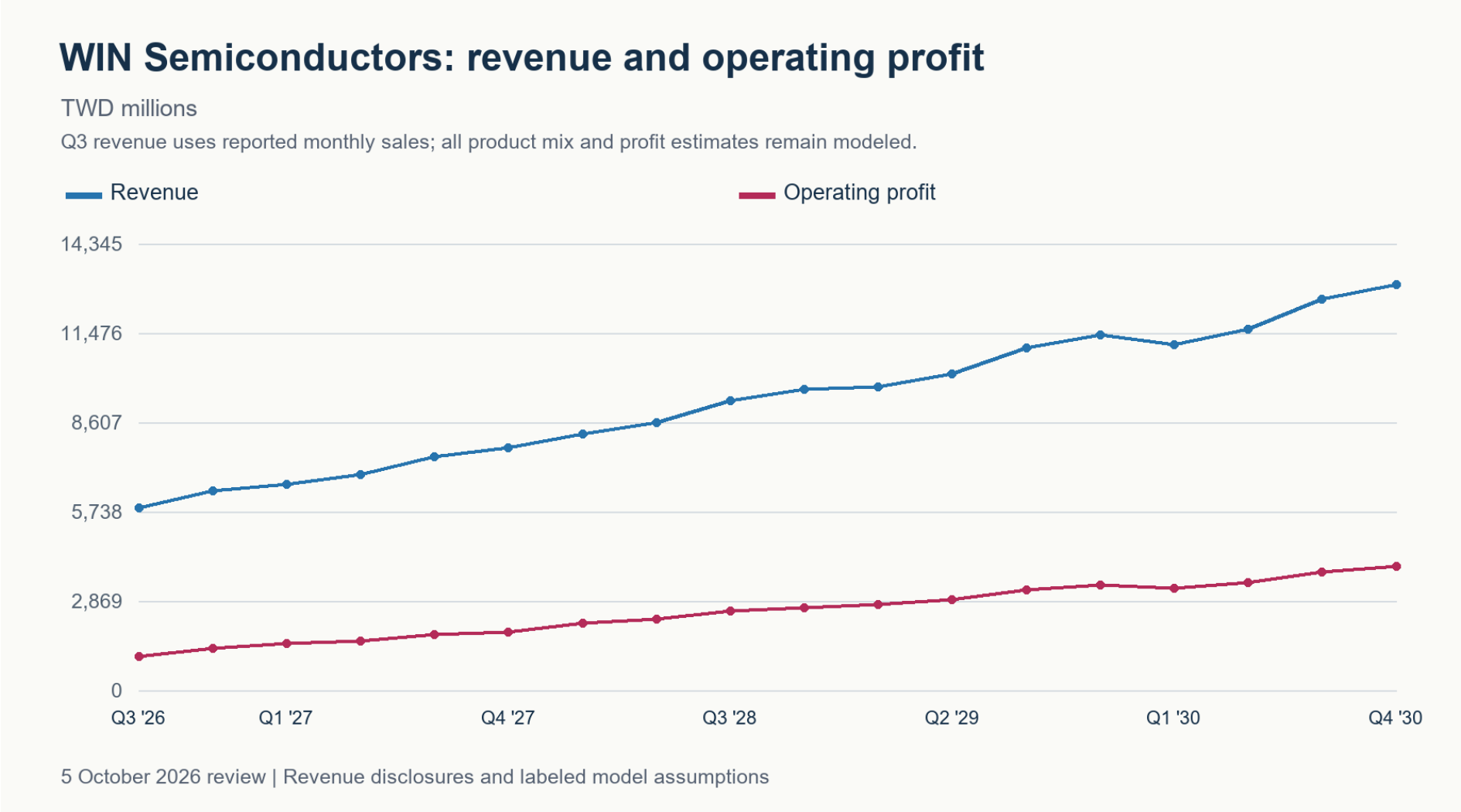
Product revenue build

Quarter	Cellular	Wi-Fi	Infrastructure	Optical including sensing	Other	Total
Q3 2026	1,874.88	820.26	1,874.88	996.03	292.95	5,858.99
Q4 2026	1,984.00	832.00	2,112.00	1,152.00	320.00	6,400.00
Q1 2027	2,300.00	805.00	2,070.00	1,150.00	299.00	6,624.00
Q2 2027	2,400.00	840.00	2,160.00	1,200.00	312.00	6,912.00
Q3 2027	2,600.00	910.00	2,340.00	1,300.00	338.00	7,488.00
Q4 2027	2,700.00	945.00	2,430.00	1,350.00	351.00	7,776.00
Q1 2028	2,530.00	874.00	2,645.00	1,840.00	345.00	8,234.00
Q2 2028	2,640.00	912.00	2,760.00	1,920.00	360.00	8,592.00
Q3 2028	2,860.00	988.00	2,990.00	2,080.00	390.00	9,308.00
Q4 2028	2,970.00	1,026.00	3,105.00	2,160.00	405.00	9,666.00
Q1 2029	2,760.00	943.00	3,105.00	2,530.00	391.00	9,729.00
Q2 2029	2,880.00	984.00	3,240.00	2,640.00	408.00	10,152.00
Q3 2029	3,120.00	1,066.00	3,510.00	2,860.00	442.00	10,998.00
Q4 2029	3,240.00	1,107.00	3,645.00	2,970.00	459.00	11,421.00
Q1 2030	2,990.00	1,012.00	3,450.00	3,220.00	437.00	11,109.00
Q2 2030	3,120.00	1,056.00	3,600.00	3,360.00	456.00	11,592.00
Q3 2030	3,380.00	1,144.00	3,900.00	3,640.00	494.00	12,558.00
Q4 2030	3,510.00	1,188.00	4,050.00	3,780.00	513.00	13,041.00

Product gross margins

Quarter	Cellular	Wi-Fi	Infrastructure	Optical including sensing	Other
Q3 2026	28.0%	26.0%	44.5%	26.0%	15.0%
Q4 2026	30.0%	27.0%	45.0%	28.0%	18.0%
Q1 2027	32.0%	30.0%	45.0%	35.0%	20.0%
Q2 2027	32.0%	30.0%	45.0%	35.0%	20.0%
Q3 2027	32.0%	30.0%	45.0%	35.0%	20.0%
Q4 2027	32.0%	30.0%	45.0%	35.0%	20.0%
Q1 2028	32.0%	31.0%	47.0%	39.0%	20.0%
Q2 2028	32.0%	31.0%	47.0%	39.0%	20.0%
Q3 2028	32.0%	31.0%	47.0%	39.0%	20.0%
Q4 2028	32.0%	31.0%	47.0%	39.0%	20.0%
Q1 2029	32.0%	32.0%	48.0%	41.0%	20.0%
Q2 2029	32.0%	32.0%	48.0%	41.0%	20.0%
Q3 2029	32.0%	32.0%	48.0%	41.0%	20.0%
Q4 2029	32.0%	32.0%	48.0%	41.0%	20.0%
Q1 2030	32.0%	32.0%	48.0%	42.0%	20.0%
Q2 2030	32.0%	32.0%	48.0%	42.0%	20.0%
Q3 2030	32.0%	32.0%	48.0%	42.0%	20.0%
Q4 2030	32.0%	32.0%	48.0%	42.0%	20.0%

Quarterly operating model



Quarterly revenue and operating profit. TWD millions; Q3 monthly revenue reported, profit modeled.

Quarter	Status	Revenue	Gross profit	Gross margin	Opex	Operating profit	OP margin	Forecast confidence
Q3 2026	Monthly revenue actual; profit model	5,858.99	1,874.88	32.0%	780.00	1,094.88	18.7%	Reported revenue; LOW mix/margin estimates
Q4 2026	Model	6,400.00	2,150.40	33.6%	810.00	1,340.40	20.9%	LOW; reported anchors distinguished above
Q1 2027	Model	6,624.00	2,371.30	35.8%	879.60	1,491.70	22.5%	LOW; reported anchors distinguished above
Q2 2027	Model	6,912.00	2,474.40	35.8%	886.80	1,587.60	23.0%	LOW; reported anchors distinguished above
Q3 2027	Model	7,488.00	2,680.60	35.8%	901.20	1,779.40	23.8%	LOW; reported anchors distinguished above
Q4 2027	Model	7,776.00	2,783.70	35.8%	908.40	1,875.30	24.1%	LOW; reported anchors distinguished above
Q1 2028	Model	8,234.00	3,110.29	37.8%	955.55	2,154.74	26.2%	LOW; reported anchors distinguished above
Q2 2028	Model	8,592.00	3,245.52	37.8%	964.50	2,281.02	26.5%	LOW; reported anchors distinguished above
Q3 2028	Model	9,308.00	3,515.98	37.8%	982.40	2,533.58	27.2%	LOW; reported anchors distinguished above

Quarter	Status	Revenue	Gross profit	Gross margin	Opex	Operating profit	OP margin	Forecast confidence
Q4 2028	Model	9,666.00	3,651.21	37.8%	991.35	2,659.86	27.5%	LOW; reported anchors distinguished above
Q1 2029	Model	9,729.00	3,790.86	39.0%	1,030.41	2,760.45	28.4%	LOW; reported anchors distinguished above
Q2 2029	Model	10,152.00	3,955.68	39.0%	1,040.99	2,914.69	28.7%	LOW; reported anchors distinguished above
Q3 2029	Model	10,998.00	4,285.32	39.0%	1,062.13	3,223.18	29.3%	LOW; reported anchors distinguished above
Q4 2029	Model	11,421.00	4,450.14	39.0%	1,072.71	3,377.43	29.6%	LOW; reported anchors distinguished above
Q1 2030	Model	11,109.00	4,376.44	39.4%	1,104.27	3,272.17	29.5%	LOW; reported anchors distinguished above
Q2 2030	Model	11,592.00	4,566.72	39.4%	1,116.34	3,450.38	29.8%	LOW; reported anchors distinguished above
Q3 2030	Model	12,558.00	4,947.28	39.4%	1,140.49	3,806.79	30.3%	LOW; reported anchors distinguished above
Q4 2030	Model	13,041.00	5,137.56	39.4%	1,152.57	3,984.99	30.6%	LOW; reported anchors distinguished above

Annual model cross-check

Model year (quarter convention above)	Revenue	Operating profit	OP margin
2027	28,800.00	6,734.00	23.4%
2028	35,800.00	9,629.20	26.9%
2029	42,300.00	12,275.76	29.0%
2030	48,300.00	14,514.32	30.1%

5. Forward four-quarter operating ceiling



Rolling four-quarter price targets before and after October 5. TWD/share.

Each row uses that quarter plus the next three quarters of operating profit × the sanctioned multiple ÷ that quarter's diluted shares. Probability is not multiplied into the ceiling. The final three operating quarters have no ceiling because a complete four-quarter window is unavailable.

Quarter	Exact earnings window	Forward four-quarter basis	Multiple	Share denominator (M)	Ceiling per share
Q3 2026	Q3 2026 → Q2 2027	5,514.575520	25x	424.426000	324.825501
Q4 2026	Q4 2026 → Q3 2027	6,199.10	25.00	424.43	365.15
Q1 2027	Q1 2027 → Q4 2027	6,734.00	25.00	426.55	394.68
Q2 2027	Q2 2027 → Q1 2028	7,397.04	25.00	426.55	433.54
Q3 2027	Q3 2027 → Q2 2028	8,090.46	25.00	426.55	474.18
Q4 2027	Q4 2027 → Q3 2028	8,844.64	25.00	426.55	518.38
Q1 2028	Q1 2028 → Q4 2028	9,629.20	25.00	428.68	561.56
Q2 2028	Q2 2028 → Q1 2029	10,234.91	25.00	428.68	596.88
Q3 2028	Q3 2028 → Q2 2029	10,868.58	25.00	428.68	633.84
Q4 2028	Q4 2028 → Q3 2029	11,558.19	25.00	428.68	674.06
Q1 2029	Q1 2029 → Q4 2029	12,275.76	25.00	430.82	712.34
Q2 2029	Q2 2029 → Q1 2030	12,787.48	25.00	430.82	742.04
Q3 2029	Q3 2029 → Q2 2030	13,323.16	25.00	430.82	773.12
Q4 2029	Q4 2029 → Q3 2030	13,906.76	25.00	430.82	806.99
Q1 2030	Q1 2030 → Q4 2030	14,514.32	25.00	432.98	838.05

Mechanical share sensitivity

Holding the Q1 2028 operating case, attribution and currency assumptions fixed:

Economic denominator	TWD ceiling per share
Approved denominator	561.56
5% more shares	534.82
10% more shares	510.51

This is a denominator sensitivity, not a second operating scenario or a forecast of issuance.

6. Industry relationships and read-throughs

Sivers and other optical customers provide potential foundry-demand evidence; AIXTRON supplies upstream deposition equipment and FOCI provides downstream attachment. A tool order, wafer start and shipped optical assembly occur at different times and use different revenue units.

7. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

Risk class	Existing deduction
Customer and program concentration	-1
Optical qualification, yield and utilization	-1
Input availability and costs	-1
Working capital and ramp cash absorption	-1
Total	**-4**

Scoring and checkpoints

Ceiling is current-plus-next-three-quarter OP ×25 divided by period shares. Confidence affects Base and the evidence labels, with no probability haircut in OP or the ceiling.

Track Q3 actual versus guidance, optical yield and mix, infrastructure order conversion, inventory and equipment commissioning. Shared learning from FOCI and Soitec: optical-system growth does not give every component supplier the same revenue or margin growth. WIN sells foundry processing; Soitec sells engineered substrates; FOCI supplies optical interconnect products. Each requires its own content and capacity bridge.

Numbered monitoring tests

#	Checkpoint	Evidence supporting the operating case	Counter-test / failure signal
1	Qualified wafer output	Reconcile optical sales to usable capacity, wafers and yield.	RF capacity or generic utilization does not automatically support the optical forecast.
2	Customer allocation	Track repeat production orders and second-source decisions.	A design announcement without awarded foundry volume leaves capture uncertain.
3	Profit conversion	Reconcile mix, GP, depreciation and operating costs.	More wafers with weak yield can fail the OP ramp.
4	Supply and cash	Monitor input procurement, export conditions and inventory/cash conversion.	Revenue growth funded by persistent inventory and receivable expansion needs separate funding support.

8. Sources, evidence gaps and model snapshot

Sources below are those documented in the supplied earnings review. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. Integrating the original research does not itself establish full Framework 6.0 evidentiary certification.

- **WIN-1** · 2026-07-23 · 第二季法人說明會簡報. Traditional Chinese management presentation.
- **WIN-2** · 2026-07-23 · Q2 2026 presentation. Q3 guidance, product mix and utilization.
- **WIN-3** · 2026-04-30 · Q1 2026 presentation. Previous management operating discussion.
- **WIN-4** · 2026 H1; available by cutoff · Reviewed consolidated financial report. Exact financial statements and EPS denominator.
- **WIN-5** · 2026-07-24 · Q2 call summary / partial transcript. Qualitative research aid; not a complete verbatim record.
- **WIN-6** · 2026-04-30 · Q1 call summary / partial transcript. Prior management context with same limitation.
- **WIN-7** · 2026-09-01 · Original model and framework - User upload:3105_TW_Q_Model. Sanctioned 25x OP; standalone artifact not included.

The unchanged original source document is retained separately for full research provenance. It is an archive, not an additional active valuation case. Superseded score/ceiling tables are not incorporated into this active artifact.

Model snapshot: approved portfolio operating case at 6 September 2026; 15 ceiling endpoints from Q3 2026 through Q1 2030. Q1 2028 = TWD 561.559931 per share. Portfolio Base = 82/100. Category score = 47/60. Forecast evidence and accounting exceptions are stated above.

October 5 source register and synchronization record

MONTHLY-202609: TPEX-3105-REVENUE-202609, revision 1. Primary MOPS disclosure; company 3105, period2026-09, retrieved2026-10-05T11:30:29.608387+00:00. Source SHA-256: bf8d13372c2d8eebc4380e587a468d2b15879bd85531c98a816c6d6f30bc3f63. The publication timestamp is 2026-10-05. This current record supersedes September forecast-status wording while preserving earlier source cutoffs.

Current model snapshot: October 5, 2026; full original research retained. Master workbook sheet 3105_TW_Q_Model. Active Q4 2027 target TWD 518.384643; analytical Base 78, protected Excel Base 82. Quarterly revenue, profit and ceiling tables above use the staged, validated workbook values.